

Broadstone's 8.5% Yield on a \$303M BTS Deal Shows Net-Lease Capital Is Chasing Inflation-Protected Cash Flow

The triple-net lease structure transfers risk to the tenant, but the yield tells the real story about required returns.

What \$303 million reveals

\$303 million

Key figure

It is the 8.5 percent year-one cash yield

The most important number in Broadstone Net Lease's \$303 million build-to-suit commitment in Colorado is not the dollar amount. It is the 8.5 percent year-one cash yield. That yield tells you exactly where net-lease capital is pricing risk in mid-2026: above the risk-free rate by a margin that compensates for construction execution, tenant concentration, and the long duration of a 15-year triple-net lease.

Broadstone's estimated total investment is \$303 million

It also tells you that Broadstone is not buying a stabilized asset at a cap rate it can defend. It is underwriting a development spread that must survive lease-up, delivery, and the tenant's own business cycle. The deal is structured as a joint venture to develop an advanced technology facility in Colorado. Broadstone's estimated total investment is \$303 million.

Year-two cash yield steps up to approximately 9.7 percent

The triple-net lease carries an initial term of 15 years, two five-year extension options, and annual rent escalations of 3 percent. Year-two cash yield steps up to approximately 9.7 percent. The straight-line yield, which amortizes rent steps over the lease term, lands at approximately 11.6 percent. Those numbers are not arbitrary. They reflect the minimum return Broadstone's cost of capital demands for taking development risk on a single-tenant, single-asset basis.

To justify the incremental risk of a ground-up build, Broadstone needs a premium

Public net-lease REITs trade at implied cap rates in the high 6s to low 7s on stabilized portfolios. To justify the incremental risk of a ground-up build, Broadstone needs a premium. The 8.5 percent year-one cash yield is that premium. The 3 percent annual rent escalator is the structural hedge.

An advanced technology facility in Colorado suggests a tenant with strong credit

In a world where inflation expectations remain sticky and the 10-year Treasury hovers near 4.5 percent, a fixed 3 percent bump protects the landlord's real return. It also aligns the lease economics with the tenant's own revenue growth assumptions. An advanced technology facility in Colorado suggests a tenant with strong credit and long planning horizons. Broadstone is betting that the tenant's business model can absorb those escalations for 15 years.

But the cash yield is what funds the dividend

The straight-line yield of 11.6 percent is the number that matters for financial reporting and equity valuation. GAAP accounting will recognize that yield over the lease term, smoothing the cash step-ups. But the cash yield is what funds the dividend. Broadstone's investors should watch whether the year-one cash yield covers the REIT's cost of equity capital. If it does, the deal accretes.

The joint venture partner, which shares in the development fee and any upside

If it does not, the deal is a long-duration bet on rent growth that may not materialize fast enough. Who benefits? Broadstone's shareholders, if the tenant performs and the facility delivers on time and on budget. The tenant, which gets a custom-built asset with no upfront capital outlay and a fixed rent schedule. The joint venture partner, which shares in the development fee and any upside.

The lender, if Broadstone uses debt to fund part of the investment and the asset's value

The Colorado market, which adds a high-quality industrial-tech asset to its tax base. Who is exposed? Broadstone, if construction costs overrun, if the tenant's credit deteriorates, or if the facility becomes functionally obsolete before the lease expires. The tenant, if the 3 percent escalator outpaces its own revenue growth. The lender, if Broadstone uses debt to fund part of the investment and the asset's value declines. What should the market watch next?

If this deal signals a shift from acquisition to development, it changes the risk

The identity of the tenant. Without that, the credit analysis is incomplete. Also watch Broadstone's development pipeline disclosures. If this deal signals a shift from acquisition to development, it changes the risk profile of the entire portfolio. Development carries execution risk that acquisitions do not. The yield premium is the compensation for that risk. Net-lease capital is not chasing yield blindly.

The market should watch whether the tenant's credit justifies it

It is chasing yield with a structure that transfers operating risk to the tenant and inflation risk to the escalator. The 8.5 percent year-one cash yield is the price of that structure. The market should watch whether the tenant's credit justifies it.

Why it matters

If this deal signals a shift from acquisition to development, it changes the risk profile of the entire portfolio.

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